

“Sell reason: The stock has broken through support at the double bottom low, and it's going down. Time to sell. This could be a broadening bottom forming, but my guess is the stock will not bounce off the lower TL [trendline; it sliced through it but recovered], which is what I hoped would happen today. The market has been down 3 days in a row, and I expect it to bounce back, but things seem to be getting worse this morning. I'm just going to sell this turkey. Filled at 9.5701. A hard stop just above 10 would have improved results, but 10 is a round number. I can never make money trading these housing stocks...Existing home sales were much weaker than expected, but the stock opened lower, dipped, and then climbed to close higher. Sigh. Today (25 August), new home sales will be announced, and they are expected to be weak. Maybe that will take the stock down.”

I sold the day the stock bottomed. It moved up in a choppy manner until reaching the ultimate high at 16.11 (short of the 20 target) in January 2011. This double bottom double busted, taking 17% from me. That's double what I like to see.

- Lesson: A buy stop placed a penny above the top of the chart pattern would have lowered the entry price.
- Lesson: Keep losses small. A hard stop (one placed with the broker) a penny or two below the lower of the two lows would have limited losses.

Charles Schwab Corp.

A trade in Charles Schwab Corp. (SCHW) didn't work out, either. “21 November 2002. I bought at market, filled at 11.72. This is an AADB trade [Adam & Adam double bottom] with a +1 score. Merrill upgraded the stock, and it broke out, paused at overhead resistance at 11.50. I expect a climb to 12–13 where it'll meet resistance and pause [it paused at 12 and again at 12.50 in a second peak]. With effort, it'll push through this and move higher as the bull market comes back. Downside is a drop to 9, the bottom of a support range (9–10). [Head-and-shoulders top] neckline is at 8.50, so that may also add support. Median rise is 12.49, and I hope it'll beat that. I now expect a retest of the breakout, but we'll have to see. Other brokerage stocks are struggling.”